Board Meeting

July 8, 2025

VANCOUVER PUBLIC SCHOOLS

National Anthem

Minnehaha Elementary

Kareah Nicoson - Choir

National Anthem
K-I-N-D

Superintendent Report

VANCOUVER PUBLIC SCHOOLS

Ongoing Statewide Budget Challenges

- Dramatic acceleration of unfunded Special Education expenses
- Salary and MSOC inflation outpacing state funding
- Decreasing enrollment, as a result of lower birth rates

Drivers for 2024-25 Budget Extension

- Hired additional teachers post-budget adoption to address projected enrollment growth and manage class sizes
  - Enrollment did increase above budgeted levels, but we did not sustain as much growth as projected based on recent historical trends
- Overload costs increased more dramatically than projected
- Growth in Special Education
  - Contractual caseloads, amplified by increased SpEd enrollment
  - Paraeducators (both bargained and 1-on-1's)
  - Contractual 'outplacements' (largely offset by Safety Net funding)

Summary of 2024-25 Budget Extension

- Expenditures are projected to increase by $8.6M, while revenues are projected to increase by $4M.
- Fund balance would be drawn down from $12.2M to approximately $7M.

2025-26 General Fund Budget

Recurring challenges persist:

- Higher than normal inflationary increases to salary (2.5%) increase unfunded salary costs
- Decreased overall student enrollment
- Increased special ed enrollment and complexity of needs continue to dramatically outpace any funding increases
- Inflation in MSOCs (particularly property/liability insurance) dramatically outpace nominal increases in state funding

2025-26 Budgeted Enrollment

	2022-23	2023-24	2024-25	2025-26 (bud.)
Elementary	9,527.30	9,321.23	9,174.00	8,952.00
Middle School	4,748.51	4,652.15	4,657.00	4,595.00
High School	5,798.99	6,069.30	5,803.00	5,702.00
Alternative Learning Experience (ALE)	992.68	619.00	713.00	647.00
Open Doors	185.00	236.50	303.00	265.00
Running Start	353.59	376.44	361.00	360.00
Total	**21,606.07**	**21,274.62**	**21,011.00**	**20,521.00**
Change	**n/a**	**-1.53%**	**-1.24%**	**-2.33%**

Special Ed Challenges

Difference Between Revenue and Expenditure		As % of Total Levy
2021-22	$5M	10.5%
2022-23	$12.4M	24.7%
2023-24	$10.6M	18.8%
2024-25 (projected)	**$20.8M**	**32.7%**
2025-26 (budget)	**$27.2M**	**39.9%**

Fund Balance Alert

Budgeted Beg. Fund Balance	$7,000,000
Budgeted Revenues	$451,796,063
Budgeted Expenditures	- $458,600,883
Budgeted End. Fund Balance	**$195,180**

2025-26 Budget Next Steps

- Deeper dive into budget details as part of public hearing at August 12th board meeting
- Board to vote on adopting 2025-26 budget at August 12th board meeting
- Once budget is approved, closely monitor assumptions from final budget as school year progresses
- Adapt for final loss of federal funding - reassign newly unfunded staff where possible
- Limit new commitments (contracts, travel, non-critical materials)
- Plan for near-certainty of significant reductions for 2026-27
  - Consider hiring freeze to limit future layoffs
- Continue to manage systemic cash flow shortages compounded by lower available fund balance

VANCOUVER PUBLIC SCHOOLS

Learn More About the 2025-26 Budget

www.vansd.org/2025-26-budget-information